Report Date: 12/10/2026

Equity Research Report

UltraTech Cement Limited

BSE: 532538 | NSE: ULTRACEMCO | ISIN: INE481G01011| Sector: Cement & Cement Products | Industry: Construction Materials

Investment Summary

RATING

SELL

Target price ₹6,960

Downside 34.8% vs CMP ₹10,675

CMP (9 Oct 2026 close)	**₹10,675**
Market cap / EV	**₹3,14,592 cr / ₹3,36,963 cr**
52-week high / low	**₹13,110 / ₹10,325**
EV/EBITDA (peer median)	**19.8x (14.5x)**
P/E (peer median)	**38.4x (26.6x)**
EV/Sales (peer median)	**3.8x (2.5x)**

Investment view: a high-quality leader, priced above our value

- **Strong operations.** FY26 revenue rose 16.5% to ₹88,512 cr and EBITDA to ₹17,020 cr (19.2% margin). EBITDA per tonne improved 19% to ₹1,103, capacity reached 191 MTPA (about 237 MTPA by FY28E) and net debt/EBITDA fell from 1.56x to 1.09x.
- **Premium valuation.** UltraTech trades at 19.8x EV/EBITDA, 38.4x P/E and 3.8x EV/Sales, about 35–50% above the peer medians (14.5x, 26.6x and 2.5x). The premium for scale and cost leadership is already in the price.
- **Value is below the price on every method.** In our Base case revenue grows 9.1% a year and EBITDA 8.6% a year over FY26–FY36E. Our five methods give ₹4,986 to ₹8,270 per share, so we set a target price of ₹6,960 (average) and rate the stock SELL.

Valuation summary

Method	Value per share	vs CMP	Basis
DCF – Perpetuity growth	₹4,986	−53.3%	WACC 11.57% , g 4.5%
DCF – Exit multiple	₹8,270	−22.5%	14.5x peer-median EV/EBITDA
Relative – EV/EBITDA	₹7,483	−29.9%	Peer median 14.5x
Relative – EV/Sales	₹6,660	−37.6%	Peer median 2.5x
Relative – P/E	₹7,403	−30.6%	Peer median 26.6x
Target price (average of 5 methods)	**₹6,960**	**−34.8%**	**Equal-weighted**

Source: Author's model (Base scenario). Equity value = EV − net debt (₹18,635 cr) − NCI (₹4,089 cr); 29.47 cr shares.

Key financials (consolidated)

₹ crore (FY ends March)	FY25A	FY26A	FY27E	FY28E	FY29E	FY36E
Revenue	75,955	88,512	96,920	1,09,579	1,22,446	2,12,246
EBITDA	12,557	17,020	18,549	20,869	23,204	38,697
EBITDA margin	16.5%	19.2%	19.1%	19.0%	19.0%	18.2%
Net profit (attributable)	6,039	8,166	9,087	10,660	12,293	24,092
Net debt / EBITDA	1.56x	1.09x	0.97x	0.78x	0.49x	Net cash

Source: Company annual report FY26 and the author's model. EBITDA is before other income.

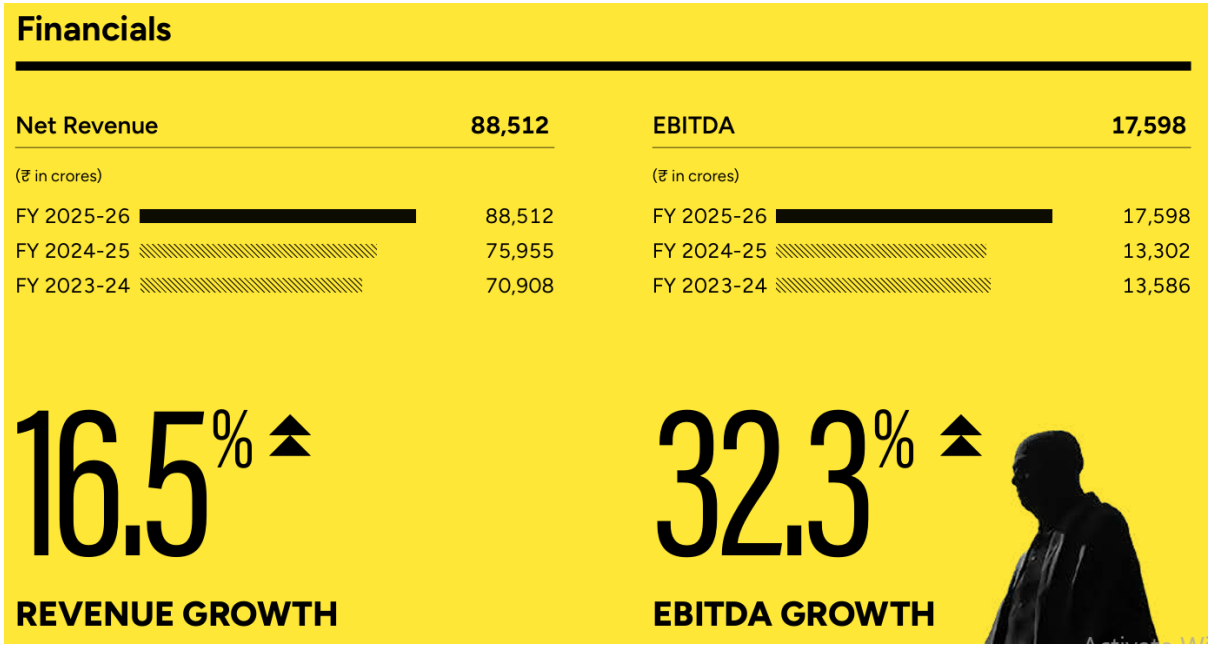
Key risks and what would change our view

- **Upside risks to our Sell view:** faster volume growth or a quicker ramp-up of new capacity, lower interest rates (a WACC near 9.6% lifts the DCF to about ₹7,500), or stronger cement pricing.
- **Operating risks:** higher fuel and pet-coke costs, a slowdown in housing and infrastructure demand, capacity oversupply and price competition, and delays in the ₹16,000 cr expansion.

Change in rating: we would turn more positive if the price falls towards ₹7,500–8,000, or if earnings beat our forecasts for two consecutive years.

Company Overview

UltraTech Cement Limited is a public limited company with its registered office in Mumbai, Maharashtra. Its shares are listed on the BSE and NSE, and its Global Depository Receipts are listed on the Luxembourg Stock Exchange. It is India's largest manufacturer of grey cement, white cement and ready-mix concrete (RMC), with an installed grey cement capacity of 191.36 million tonnes a year (FY26). It sells through a pan-India network of plants and dealers. Its national scale, investment in captive renewable energy and waste-heat recovery, and prudent capital allocation support profitable growth. Cement demand follows housing, infrastructure and government capex, so the company's growth is closely tied to the pace of construction in India.



Ratio	FY25	FY26	% change
EBITDA margin	16.5%	19.2%	+16.3%
EBIT margin	11.2%	14.0%	+24.3%
Net margin	8.0%	9.3%	+16.3%
ROE	9.2%	11.1%	+20.5%
ROIC	7.4%	9.4%	+27.3%
Net debt / EBITDA	1.56x	1.09x	−29.7%
Interest coverage	5.2x	6.6x	+27.8%
Current ratio	0.78x	0.76x	−1.7%
Asset turnover	0.65x	0.64x	−0.7%
EBITDA per tonne (₹)	924	1,103	+19.4%
Capacity utilisation	83.8%	82.3%	−1.8%

Indian Economy

It is predicted that global inflation would slightly increase to 3.8% in 2026, suggesting that disinflation is still ongoing. While EMDE inflation is predicted at 4.8%, driven by domestic demand and food-price risks, advanced-economy inflation is predicted to stay near 2.2%, reflecting ongoing services and pay pressures. Restrictive global monetary circumstances are likely to continue, according to inflation dynamics.

With GVA growth of 7.3% and an estimated real GDP growth of 7.4% in FY26, India is once again the fastest-growing major economy. Sustained infrastructure spending allowed it to grow at a strong rate.

A sustained drive for capital expenditures was made possible by strong tax buoyancy and controlled revenue expenditure.

By November 2025, capital spending had risen to about 60% of the allocated amount.

The fiscal deficit stayed on course to reach the FY26 goal of 4.4% of GDP.

Liquidity policies and cumulative repo rate reductions of 125 basis points since February 2025 enhanced monetary transmission.

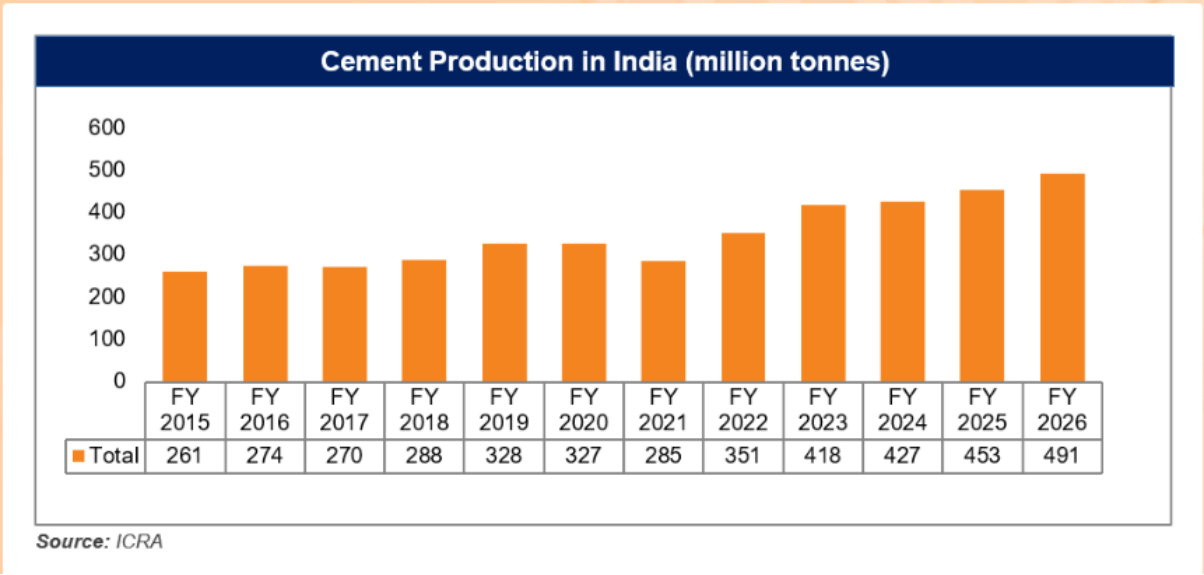
With non-performing assets at multi-decade lows, banking sector balance sheets continued to improve.

Growth Prospects: Macroeconomic stability and structural reforms underpin India's estimated 7% medium-term growth potential.

Industry Analysis

India ranks as the world's second-largest cement producer, contributing over 8% of global installed capacity. The nation possesses extensive limestone deposits and access to coal, providing a solid resource foundation for growth. The cement sector is set to gain greatly from India's infrastructure and housing surge, fueled by increasing rural housing needs, budget housing initiatives, and swift urbanization propelling ongoing consumption.

India's cement sector possessed an installed capacity of almost 700 million tonnes per annum (MTPA), with production plants mainly located in limestone-abundant states like Andhra Pradesh, Rajasthan, Tamil Nadu, and Karnataka. South India holds the highest proportion of installed cement capacity at about 32%, with North and East India each at roughly 20%, West India at 15%, and Central India at 13%. The sector continues to gain from plentiful limestone deposits nationwide, ensuring lasting raw material availability for upcoming growth. In FY26, cement output rose by 8.6% compared to the previous year, totaling 491.4 million metric tonnes (MT). Production volumes increased by 9.4% year-over-year to 42.8 million MT in April 2026. Average prices of cement rose in India by 2% year over year to Rs 345 per bag in FY26 and increased by around 4% month-on-month to Rs. 350 per bag in April 2026, driven by ongoing demand from the construction and infrastructure industries. ICRA anticipates a 7–8% increase in cement volumes for FY27.



Under the housing for all segment, the Union Budget 2026–27 allocated Rs. 54,916.7 crore (US$ 6.21 billion) for Pradhan Mantri Awaas Yojana-Gramin (PMAY-G) to support rural housing development across the country.

India's cement demand is expected to sustain its growth momentum with a projected increase of 7-8% in FY27. This robust growth is driven primarily by government housing initiatives like the Pradhan Mantri Awas Yojana (PMAY) and ongoing infrastructure development projects. Supported by a revival in construction activity and increased government capital expenditure, the real estate sector's expansion will continue to fuel strong cement demand.

The government's infrastructure push is a significant catalyst, with projects like the Mumbai-Ahmedabad Bullet Train Corridor significantly boosting cement demand. This project alone uses around 20,000 cubic meters of cement daily, generating large-scale employment.

Company Analysis

In FY26, UltraTech’s consolidated revenue rose 16.5% to ₹88,512 crore, helped by a 14% increase in sales volume to 154 million tonnes. EBITDA grew about 35% to ₹17,020 crore, and the EBITDA margin improved to 19.2%. EBITDA per tonne rose 19% to ₹1,103, supported by lower energy and freight costs. Profit attributable to shareholders grew 35% to ₹8,166 crore.

Production and Capacity Utilisation (Grey Cement) - India

Particulars	FY 2025-26	FY 2024-25	% change
Installed capacity (MTPA)	191.36	183.36	4%
Production (MMT)	143.83	127.44	13%
Capacity Utilisation	77%	78%	(1%)

MTPA- Million Metric Tonnes Per Annum; MMT- Million Metric Tonnes

In the fiscal year 2025-26, UltraTech added 8 MTPA of capacity across various locations. The expansion pipeline continues, with the Company starting FY 2026-27 with the inclusion of 8.7 MTPA of capacity in April 2026. New milling facilities in Visakhapatnam (Andhra Pradesh), Shahjahanpur (Uttar Pradesh), and Patratu (Jharkhand) have further broadened its presence. By doing this, UltraTech has reached a landmark achievement, exceeding 200 MTPA of grey cement capacity completed a year in advance.

The company is currently the largest cement producer in the world , based on sales volume and capacity beyond China. At 200 million tons per annum, Its installed capacity is almost twice that of the United States and surpasses the overall cement capacity of the European Union. Similarly important, no other Indian firm has reached this level of capacity in any industry.

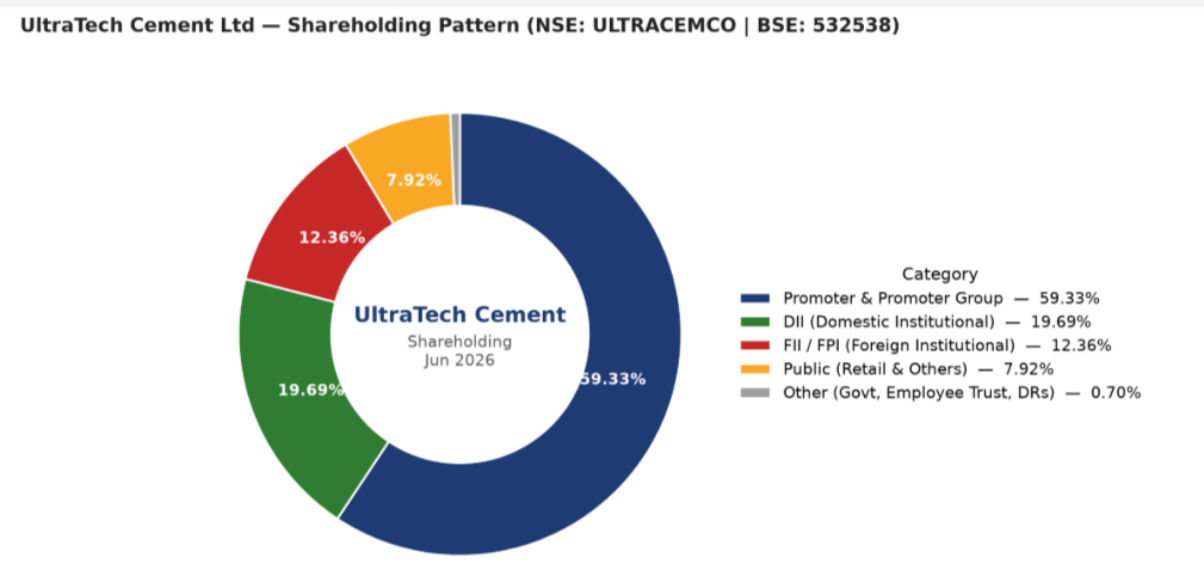
Through dedicated investments of ₹16,000 crore, it intend to expand our overall cement capacity to over 240 MTPA by fiscal year 2027-28. These investments are directed by a systematic method for capital distribution and are in harmony with long-term value generation.

Sales Volume

(Figures in MMT)

Particulars	FY 2025-26	FY 2024-25	% change
Grey Cement – India	145.52	128.32	13%
Grey Cement – Overseas	6.06	5.51	10%
White Cement	3.17	2.69	18%
Total Sales Volume*	154.25	135.83	14%

The company is steadily expanding through significant investments in increasing its capacity, volume, and sales; for this reason, it has reached this level of sales, enhanced its profits, and generated value for its shareholders and the nation.



As of 30 June 2026. Source: BSE

The labeled pie chart illustrates that the navy blue segment represents the Promoters, holding a significant controlling stake in the company with a total share percentage of 59.33% of the company, supported by Grasim Industries Ltd. The green section represents Domestic Institutional Investors (DIIs) at 19.69%, indicating a growing domestic institutional presence involving mutual funds, insurers, and banks that showcases enduring confidence from professional fund managers. The red segment represents Foreign Institutional Investors (FII/FPI) at 12.36%, showing ongoing but decreasing involvement from international capital markets. The orange

section indicates Public shareholders at 7.92%, demonstrating a steady and modest retail foundation. Ultimately, the grey segment, comprising only 0.70%, pertains to the Others category — government holdings, employee benefit trusts, and depository receipt shares.

Comparable Peer Valuation Table

Company	Price	Market Cap.	EV	EV / Sales	EV / EBITDA	PE
Ultratech Cement	10,675.0	3,14,592.3	3,36,963.0	3.8x	19.8x	38.4x
Ambuja Cement	350.0	86,968.0	86,875.3	2.1x	13.2x	15.4x
Shree Cement	22,145.0	79,943.5	81,469.8	3.9x	17.6x	45.7x
JK Cement	4,851.0	37,498.2	43,212.1	3.1x	18.2x	38.0x
Dalmia Bharat Ltd	1,598.6	29,989.7	37,171.7	2.5x	12.1x	25.9x
ACC	1,136.0	21,334.1	21,205.0	0.8x	7.2x	10.0x
The Ramco Cement	809.4	19,126.1	22,769.9	2.5x	15.8x	27.4x

Price as of 9 Oct 2026

Latest close (12 Oct): ₹10,520. Valuation date: 9 Oct. Downside to the latest close: 33.8%

With a price of ₹10,675.0 (according to peer comparison), UltraTech Cement stands out as the largest competitor in the group significantly — boasting a market capitalisation of ₹3.15 lakh crore, approximately 3.6 times that of the next largest rival (Ambuja) — and is assessed at 38.4 times P/E and 19.8 times EV/EBITDA. Its P/E ratio is lesser than Shree Cement's (45.7x), but similar to JK Cement's (38.0x), while it remains higher than Dalmia Bharat's (25.9x), Ramco Cements' (27.4x), Ambuja's (15.4x) and ACC's (10.0x). Regarding EV/EBITDA, UltraTech holds the top multiple in the group (19.8x), followed by JK Cement (18.2x) and Shree Cement (17.6x) at similar figures, whereas Ramco (15.8x), Ambuja (13.2x), Dalmia (12.1x), and ACC (7.2x) are positioned increasingly lower. In terms of EV/Sales, Shree Cement (3.9x) is slightly above UltraTech (3.8x), while JK Cement (3.1x), Dalmia and Ramco (both 2.5x), Ambuja (2.1x), and ACC (0.8x) fall behind, indicating UltraTech's larger scale. ACC trades at notably low multiples (7.2x EV/EBITDA, 10.0x P/E, 0.8x EV/Sales). It is a subsidiary of Ambuja Cements, so the two companies' numbers overlap and ACC is not directly comparable like-for-like. Significantly, UltraTech's enterprise value (₹3,36,963 crore) is higher than its market capitalisation (₹3,14,592 crore), suggesting net debt on the balance sheet.

Price Action Table

Parameters	Value
Closing Price	₹10,520
Volume Traded	2,20,000
Face Value	₹10
52 Week High/Low	₹13,110 / ₹10,325
Day's High/Low	₹10,759/ ₹10,426
Open Price	₹10,694
Previous Close	₹10,675

Source : NSE As of 12th October 2026

Ultratech cement closed at ₹10,520.00 on 12th oct 2026, about 20% below its 52-week high of ₹13,110 and close to its 52-week low of ₹10,325.00.



On 12 October 2026, UltraTech Cement finished at ₹10,520, which is lower than its 200-day (₹11,680) and 50-day (₹11,306) simple moving averages. The 50-day average was likewise beneath the 200-day, reinforcing a bearish "death cross" formation. The cost is approximately 20% lower than its 52-week peak of ₹13,110 (early February 2026), suggesting an ongoing downtrend from that high, characterized by successive lower highs and lower lows throughout the year. A fall beneath the 52-week low of ₹10,325 would extend the decline. Immediate support is found between ₹10,250 and ₹10,500, a range that the price has rebounded from repeatedly. Regaining the 50-day average near ₹11,306 would mark the initial phase of a rebound, while the

₹11,500–11,750 area — where the rally from July to August continually faltered — serves as the subsequent resistance.

Disclaimer

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